

# ABR pitch deck

## PITCH — ABR — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

**PROPOSED — PENDING ADJUDICATION: DO NOT BUY at \$5.36. Both benches converge on no position (kill conviction 6–7/10). Re-hear the case at the Q3 earnings report (~Oct 30); specific reopen conditions and bands below.**

### What we believe

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Arbor Realty Trust is a real-estate lender with two businesses: a \$12.1B balance-sheet loan book (mostly floating-rate bridge loans on 2021-vintage apartment buildings) and a \$36.7B agency loan-servicing business. The stock has fallen 57% from its 52-week high to \$5.36, about 46% of the company's stated \$11.59 per-share book value.

The original long thesis was that the market is pricing the whole company as if the troubled loan book infects everything, while the servicing business is a credit-insensitive cash machine that alone justifies much of the price. **The court killed that thesis.** The company's own Q2 2026 quarterly filing shows Arbor shares losses with Fannie Mae on the servicing book too: it carries a \$118.9M loss-sharing reserve against it and took \$18.0M of new loss provisions on it in the first half of 2026 alone ([SEC 10-Q, filed 2026-07-31](#)). Both engines are exposed to the same apartment-loan credit cycle. What we now believe: this is a damaged but functioning franchise, trading at a discount that is roughly fair for the risks, with a probable dividend cut ahead of it.

### What the market believes

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The market is treating ABR as a contested battleground, not a neglected bargain. Roughly 47M shares (~29% of the float, as of stale March 2026 data) are sold short. Short sellers and a Bloomberg-reported DOJ/FBI inquiry (2024-vintage, [Bisnow coverage](#)) argue the loan book is marked too optimistically: the loss reserve is only 1.35% of loans while ~8.8% of the book is non-performing. The dividend was already cut to \$0.17/quarter, and the stock's price says the market expects more cuts and more credit losses. Notably, the market also just showed it will still lend to Arbor: in July the company placed \$375M of unsecured 3-year convertible notes at 6.25% — funding access is intact, but expensive.

### Why we might have edge

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Honestly: less than the original pitch claimed. What survives:

- **Funding access is proven, not assumed.** The July convert placement refutes the “terminal funding spiral” bear case. The red bench never engaged this leg.

- **The servicing business is damaged, not worthless.** The loss-sharing reserve is ~0.32% of the \$36.7B servicing portfolio, and the ~\$36M/year provision run-rate compares to ~\$195M/year of servicing and escrow revenue. There is still a real earnings stream here.
- **The heavy short interest cuts both ways.** A 29%-of-float short base is fuel for a squeeze if credit news improves — it argues against being short, even as it kills the “nobody’s looking at this” framing.
- **A defined, near-term test exists.** Management has a December target of reducing foreclosed real estate to ≤\$350M. If hit with genuine cash sales, it is checkable evidence the workout is progressing.

## Why it might be priced in

- The core dispersion argument — clean servicing engine vs. dirty loan book — is factually wrong per the company’s own filing. Both engines carry the same credit.
- The \$0.17 dividend is being paid out of \$0.10 of distributable earnings, with management guiding \$20–30M per quarter of realized losses. A second cut is the most likely dated event, and the decision lands at the ~Oct 30 report.
- The loss reserve (\$163.4M) covers only ~15% of the ~\$1.07B of non-performing loans and would be consumed by guided losses in ~6 quarters. Either reserves rise (book value falls) or the book is optimistic. \$11.59 is not a conservative anchor.
- The July converts convert at ~\$6.10/share — 61.5M potential new shares on a ~209M share base. Above \$6.10, dilution kicks in and pro-forma book value per share falls to roughly **\$10.34**, so the upside doesn’t stop there but it decelerates meaningfully. Management effectively sold part of the recovery upside to fund the buyback.
- At +13% off the 52-week low with an active buyback underneath, the tape has already bounced; this is not a fresh dislocation.

## What we checked ourselves

| Claim                                    | How checked                                                                                                    | Found                                                                                                                                                                           | Confirmed?                                   |
|------------------------------------------|----------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------|
| Servicing business is credit-insensitive | Read the Q2 2026 10-Q loss-share disclosures ( <a href="#">SEC primary</a> )                                   | \$118.9M loss-sharing reserve, \$36.6M guarantee obligation, \$18.0M H1’26 provisions                                                                                           | <b>REFUTED — thesis leg dead</b>             |
| Converts create a \$6.10 wall            | Conversion rate from <a href="#">pricing release</a> : 164.0016 sh/\$1,000 ≈ \$6.10; 61.5M shares vs 209M base | Real overhang — but <b>red bench erred</b> : called it a fatal “cap”; full conversion still leaves ~\$10.34/share book, so upside decelerates above \$6.10, it doesn’t collapse | <b>Confirmed as sizing issue, not fatal</b>  |
| Second dividend cut is imminent, pre-Q3  | Dividend calendar from the <a href="#">Q2 release</a>                                                          | <b>Red bench erred on timing</b> : no pre-Q3 decision point exists; current \$0.17 has record date 8/14, pay 8/28; the cut decision lands at the ~Oct 30 print                  | <b>Substance confirmed, timing corrected</b> |

| Claim                                    | How checked                                                                           | Found                                                                                                                                                                       | Confirmed?                                       |
|------------------------------------------|---------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------|
| Reserve of 1.35% vs 8.8% non-performing  | Arithmetic re-run by both benches                                                     | Correct; +\$32M reserve build in the quarter, chasing guided losses                                                                                                         | <b>Confirmed</b>                                 |
| 29%-of-float short = crowded             | Fintel/MarketBeat                                                                     | Level is March 2026 — <b>stale</b> ; direction confirmed. <b>Red bench erred</b> using it as a one-sided long-kill; it is two-sided (squeeze fuel)                          | <b>Partially — level unverified</b>              |
| Dec REO target is a clean pass/fail test | Attempted the 10-Q loans-to-REO-purchasers note (sec.gov blocked the blue bench, 403) | Historical pattern of seller-financed REO sales means the target can be gamed by rotating risk back into the loan book — target must be met with <i>cash</i> sales to count | <b>Plausible, unverified</b>                     |
| Live tradeable price                     | IBKR quote pull                                                                       | <b>Both benches were denied</b> the live-quote tool; \$5.36 is a Yahoo close                                                                                                | <b>Not confirmed — re-pull before any order</b>  |
| DOJ/FBI inquiry status                   | Web search (blue bench)                                                               | 2024-vintage probe and class action confirmed open; no 2026 resolution found                                                                                                | <b>Confirmed open; size of tail unquantified</b> |

## PROPOSED ENTRY BANDS

**The courts say no entry now.** These are the reopen conditions and bands, taken from the benches' own math:

**Reopen trigger (all substantive, checked at the Q3 report ~Oct 30 — do not re-hear before then):** 1. Foreclosed real estate  $\leq \$350\text{M}$  with  $\geq 80\%$  of resolutions in cash (no seller financing above 20%) — the blue bench's quality test on the December target. 2. Loss reserve stable or rising *without* book value surprise — i.e., no fresh reserve catch-up shock. 3. Dividend reset to  $\leq$  distributable earnings ( $\leq \sim \$0.10/\text{quarter}$  as of Q2), so the payout stops flattering. 4. Additive, not required: two consecutive quarters of servicing-book provision reversals; DOJ inquiry closure in a filing.

**If the reopen conditions are met**, the red bench's own fallback is a starter position sized against the convert geometry: buy in the **\$4.75–\$5.40** zone (52-week low \$4.73 to current price), treating **\$6.10** as the level where upside begins decelerating (convert conversion price) and **~\$10.34** as the honest diluted book anchor — not \$11.59. Starter size only, roughly 0.5–1.0% of the book, exact size set at adjudication after a live quote and fresh short-interest pull.

**Known mechanical trap:** the stock goes ex-dividend ~Aug 13–14 and will gap down ~3.2% on it. That gap is the dividend, not news — no sensor or entry logic should fire on it.

**If reopen conditions fail at Q3:** the case stays dead; next hearing only on a dividend reset to coverage or a DOJ resolution filing.

## ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.73 (deck-provisional: 52-week-low breach voids the already-bounced premise; re-examine)
- filing watch: 10-Q until 2027-02-07 (deck-provisional: Q3 reopen test: REO <=\$350M with >=80% cash resolutions, reserve stable, distributable vs dividend)
- dated pack ABR|2026-08-14: ABR: dividend record date; ex-div ~8/13 mechanically gaps price ~3.2% — suppress, do not fire (date confirmed=True)
- dated pack ABR|2026-10-30: ABR: Q3 earnings + dividend decision; the re-hearing date (vendor-derived, no company PR) (date confirmed=False)
- dated pack ABR|2026-12-31: ABR: management REO <=\$350M target; pass only if resolutions are >=80% cash (date confirmed=False)

## What remains unverified

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- **Live executable price** — both benches were denied the IBKR quote tool; \$5.36 is a Yahoo close. Must re-pull before any order.
- **Q3 report date** — Oct 30, 2026 is derived from a data vendor, not a company press release.
- **Short interest level** — the 29%-of-float figure is March 2026; direction confirmed, level stale.
- **Contents of the 2026-08-05 Form 4s** — insider activity post-earnings, unread (SEC access blocked from the sandbox).
- **The seller-financed-REO note in the 10-Q** — the specific loans-to-REO-purchasers disclosure was unreachable; the gaming risk on the December target rests on the historical pattern, not the current number.
- **DOJ/FBI inquiry** — confirmed open as of the last primary reporting; no size, timeline, or 2026 status.
- **Property-level collateral checks** (permits, hazard exposure) — uncheckable; Arbor discloses no loan-level collateral addresses.

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